

OTC MARKETS GROUP INC.

A Delaware Corporation

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Federal EIN: 13-3941069
NAICS: 523210
SIC Code: 6289

Issuer's Quarterly Report

For the quarterly period ended March 31, 2021
(the "Reporting Period")

ISSUER'S EQUITY SECURITIES

COMMON STOCK

Class A Common Stock
\$0.01 Par Value Per Share
14,000,000 Shares Authorized
11,767,047 Shares Outstanding as of April 30, 2021
OTCQX: OTCM

OTC Markets Group Inc. is responsible for the content of this Quarterly Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

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QUARTERLY REPORT

Cautionary Note Regarding Forward-Looking Statements

Information set forth in this Quarterly Report (the “Quarterly Report”) contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words “expect,” “project,” “may,” “might,” “potential,” and similar terms. OTC Markets Group Inc. (“OTC Markets Group”, “we” or the “Company”) cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group’s control. These factors include, but are not limited to, our ability to implement our strategic initiatives, economic, political and market conditions and price fluctuations, government and industry regulation, U.S. and global competition, the impact of the COVID-19 pandemic, including changes to trading behavior broadly in the market; and the risk factors discussed under the heading “Risk Factors” in our Annual Report for the year ended December 31, 2020. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

Item 1. The exact name of the issuer and the address of its principal executive offices

The name of the issuer is OTC Markets Group Inc.

Company description

OTC Markets Group Inc. (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market and the Pink® Open Market for approximately 11,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company connects a diverse network of broker-dealers that provide liquidity and execution services. We enable investors to easily trade through the broker of their choice and empower companies to improve the quality of information available for their investors.

The address of the issuer is: **300 Vesey Street, 12th Floor
New York, NY 10282**

The telephone and facsimile are: **Telephone: (212) 896-4400
Facsimile: (212) 868-3848**

The issuer's website:

OTC Markets Group's corporate website, www.otcmarkets.com, contains general information about us and our products and services. We also maintain www.otciq.com, www.otcdealer.com, www.qaravan.com, www.virtualinvestorconferences.com, www.lifesciencesinvestorforum.com and www.lifescienceinvestorforum.com. The information contained on such websites shall not be deemed incorporated by reference herein.

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Item 2. Shares outstanding

The Company is authorized to issue 14,000,000 shares of Class A Common Stock of \$0.01 par value.

None of OTC Markets Group's common stock has been registered under the Securities Act of 1933, as amended (the "Securities Act"), or qualified under any state securities laws, and we have no current plans to register or qualify any of our securities. Certain shares of our common stock are currently eligible for resale in the public market pursuant to the exemption from registration offered by Rule 144 under the Securities Act ("Rule 144"). The remaining outstanding shares of our common stock are "restricted securities" within the meaning of Rule 144 and may be eligible for resale in the future.

The following table shows Class A Common Stock share ownership as of March 31, 2021:

	March 31, 2021
(i) Number of shares authorized	14,000,000
(ii) Number of shares outstanding	11,767,211
(iii) Number of shares freely tradable (public float) ⁽¹⁾⁽²⁾	7,361,487
(iv) Total number of holders of record	198

(1) The number of shares freely tradable may include shares held by stockholders owning 10% or more of our Class A Common Stock. These stockholders may be considered "affiliates" within the meaning of Rule 144, and their shares may be "control shares" subject to the volume and manner of sale restrictions under Rule 144.

(2) Our officers and directors hold approximately 4.3 million shares of our Class A Common Stock, which may be "control shares" subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

As of March 31, 2021, there are 1,417 non-objecting beneficial stockholders owning at least 100 shares of the Company's Class A Common Stock.

Our Class A Common Stock trades on the OTCQX market under the symbol OTCM (CUSIP Number: 67106F108).

Dividends

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will consider such matters as general business conditions, our

financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

During the Reporting Period, our Board of Directors authorized and approved the following cash dividend:

<u>Declaration Date</u>	<u>Dividend Per Common Share</u>	<u>Record Date</u>	<u>Total Amount (in thousands)</u>	<u>Payment Date</u>
March 12, 2021	\$ 0.15	March 23, 2021	\$ 1,765	March 31, 2021

On May 3, 2021, the Board of Directors authorized and approved a quarterly cash dividend of \$0.15 per share of Class A Common Stock. The quarterly cash dividend is payable on June 24, 2021 to stockholders of record on June 11, 2021. The ex-dividend date is June 10, 2021.

Stock Repurchase Program

On March 12, 2021, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A Common Stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act").

The following table shows purchases made by the Company of the Company's Class A Common Stock during the Reporting Period:

<u>Date</u>	<u>Number of Shares Purchased</u>	<u>Average Price Paid Per Share</u>	<u>Number of Shares Purchased as Part of Announced Repurchase Plan</u>	<u>Number of Shares Remaining To Be Purchased Under Announced Plan</u>
Feb 2021	44,691	\$34.00	44,691	255,309
Mar 2021	42	\$41.00	42	255,267
Mar 2021				300,000

Item 3. Unaudited interim condensed consolidated financial statements

Copies of the unaudited interim condensed consolidated financial statements of OTC Markets Group for the three months ended March 31, 2021 and March 31, 2020, including the unaudited interim Condensed Consolidated Balance Sheets, Condensed Consolidated Statements of Income, Condensed Consolidated Statements of Cash Flows, Condensed Consolidated Statements of Stockholders' Equity and Notes to the condensed consolidated financial statements, are attached hereto as Exhibit 3.1 and are hereby incorporated by reference into this Quarterly Report.

The unaudited interim condensed consolidated financial statements have been prepared in accordance with generally accepted accounting principles in the United States ("U.S. GAAP"). The accompanying unaudited interim condensed consolidated financial statements reflect all adjustments which are, in the opinion of management, necessary for a fair statement of the results for the interim periods presented. These adjustments are of a normal recurring nature. As permitted under U.S. GAAP, certain footnotes or other financial information are condensed or omitted in the unaudited interim condensed consolidated financial statements. These unaudited interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in our Annual Report for the year ended December 31, 2020. The December 31, 2020 unaudited Condensed Consolidated Balance Sheet was derived from audited consolidated financial statements

contained in our Annual Report for the year ended December 31, 2020, but does not include all disclosures required by U.S. GAAP. Operating results for the interim periods are not necessarily indicative of the results that may be expected for the fiscal year ending December 31, 2021.

Item 4. Management's discussion and analysis

Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates two SEC registered ATSS.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We operate regulated trading systems, connect brokers, incentivize disclosure and organize securities. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We offer an open, competitive platform that provides a wide spectrum of companies with the benefits of being public, and acts as a gateway for global companies to access the U.S. markets.

Our Business

Our wholly owned subsidiary, OTC Link LLC, a FINRA member broker-dealer, operates OTC Link ATS and OTC Link ECN, both SEC registered ATSS. In late 2020, OTC Link LLC filed an initial operation report with the SEC to operate a third ATS, known as OTC Link NQB, which is expected to launch in the third quarter of 2021. For more information regarding OTC Link NQB, see *Recent Business Developments*, below.

OTC Link ATS offers our FINRA registered broker-dealer subscribers a fully-attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSS, including Electronic Communication Networks ("ECNs"). OTC Link ATS provides a suite of quotation and trade-messaging services offering broker-dealers control of trades and choice of counterparties so they can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. Unlike traditional exchanges and matching engines, OTC Link ATS is not an intermediary. OTC Link ATS operates as a Qualified Interdealer Quotation System ("Qualified IDQS" or "QIDQS") and delivers trade messages, allowing subscribers to execute or negotiate bilateral trades with known counterparties.

OTC Link ECN functions as a matching engine and router for certain OTC securities, complementing OTC Link ATS by providing subscribers with anonymous order matching functionality. OTC Link ECN acts as the executing party on an agency basis in relation to all transactions executed on the ECN's platform. When orders do not match internally on OTC Link ECN's matching engine, they are routed to another market destination. Pursuant to applicable FINRA rules, OTC Link ECN submits trade reports to FINRA's OTC Reporting Facility. All transactions executed on OTC Link ECN are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

OTC Markets Group provides our subscribers with access to extensive market data and financial information. Due to the role OTC Link ATS plays in supporting the broker-dealer trading process, and our interaction with issuers, we generate a significant amount of market data and information. Our market data includes real-time, delayed and end-of-day quotation and trading data, as well as security master data, company data and compliance data.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity and third-party market data redistributors and Order Management Systems (“OMS”). We generate a majority of our Market Data Licensing revenues from sales through market data redistributors, and certain of our market data licensing agreements include redistribution fees and rebates.

We also charge for the display of advertisements on www.otcmarkets.com.

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market, the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing. To join OTCQX, companies must meet minimum financial, disclosure and qualitative standards, pay annual fees, and meet the requirements set out in our OTCQX Rules on an ongoing basis. Companies pay a one-time application fee and annual fees upon renewal.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX for Banks, an expansion of the OTCQX market for U.S. companies, is specifically aimed at meeting the needs of community and regional banks. The OTCQX International market is targeted towards (i) large global companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market and do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards associated with a U.S. exchange listing, and (ii) emerging growth companies that are listed on a qualified non-U.S. stock exchange and may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

The OTCQB Venture Market provides public trading for entrepreneurial and development-stage companies and applies standards that promote price transparency and facilitate public disclosure. OTCQB is also open to international companies that trade in the U.S. in reliance on one of various available exemptions from SEC registration and to domestic companies that meet our Alternative Reporting Standard and the applicable OTCQB Standards.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. Companies on the Pink market are categorized as “Pink Current Information”, “Pink Limited Information” or “Pink No Information” based on the sufficiency and timeliness of the information they provide to investors. Pink companies can subscribe to our OTC Disclosure & News Service® (“DNS”) to make current information available to their investors on our website and through our distribution channels in accordance with the Pink Basic Disclosure Guidelines.

We publish company and security-level compliance flags to help investors identify opportunity and quantify risk. For example, companies whose stock is the subject of a public interest concern are flagged “Caveat Emptor,” or buyer beware.

While we currently operate an expert market tier with quote distribution limited only to broker-dealers, we have been working with the SEC on a proposal for an Expert Market in relation to Amended Rule 15c2-11 (see *Recent Regulatory Developments Impacting our Business*, below).

Recent Business Developments

Impact of the Ongoing COVID-19 Pandemic

The global spread of COVID-19 and related economic and governmental responses have had, and are expected to continue to have, a substantial impact on many businesses around the world and on global, regional and national economies. There is considerable uncertainty related to how COVID-19 could impact global economic conditions.

We have continued to operate our business with a majority of our employees working remotely since March 2020. Pursuant to our Business Continuity Plan, we are able to operate normally while connecting remotely, which gives us the opportunity to carefully assess and develop our plan for bringing employees back to the office. We will continue to evaluate the unfolding situation and plan to take a conservative and measured approach to returning to our offices that balances the health and safety of our colleagues, operational effectiveness and our ability to serve our subscribers.

The ongoing COVID-19 pandemic did not have an adverse effect on our revenue and financial results for the three months ended March 31, 2021. However, it is possible that the current global economic conditions and the ongoing COVID-19 pandemic could have an adverse effect on our future business, financial condition and results of operations.

There can be no assurance that the elevated levels of trading volumes that we have experienced will persist. Furthermore, as we saw following the outset of the COVID-19 pandemic, we could in future periods see reduced sales in our Corporate Services business and an increase in our voluntary non-renewal rate as issuers reach the end of their service terms. The potential impact on our financial results is discussed further in the *Trends in Our Business* section, below.

OTC Link NQB

In late 2020, OTC Link filed an initial operation report with the SEC to operate a third ATS, known as OTC Link NQB. OTC Link NQB will function as an IDQS and will offer a fully-attributable matching engine model to our subscribers. It will also allow our Market Data Licensing business to distribute depth-of-book market data. We anticipate launching OTC Link NQB in the third quarter of 2021. OTC Link NQB will have Consolidated Audit Trail (“CAT”) and Regulation ATS requirements upon commencing its operations. It is not yet possible to predict how successful the launch of OTC Link NQB will be or the impact it will have on our financial results.

Enhancements to our U.S. Bank Holding Company Data

In March 2021, we introduced enhanced data associated with bank call reports and bank holding company financial statements. Since our 2019 acquisition of Qaravan® Inc. (“Qaravan”), we have leveraged Qaravan’s risk and performance analytics software to provide investors, bank executives, regulators, and analysts with improved access to fundamental bank regulatory reports. Qaravan data, including call reports and bank holding company financial statements, is available on bank disclosure pages on our website. Complete bank performance data covering more than 5,000 U.S. banks can be found in the Qaravan application.

Virtual Investor Conferences® Business

Following our 2019 acquisition of assets related to the Virtual Investor Conferences (“VIC”) business, we have devoted internal resources to growing our VIC business. As the COVID-19 pandemic continues to require remote working arrangements, the VIC allows issuers to communicate and engage with stockholders and potential investors. During the Reporting Period, we hosted 7 VICs, with a total of 143 companies participating, reaching more than 21,000 investors. During the three months ended March 31, 2020, we hosted 5 events, with a total of 46 companies participating, reaching over 4,000 investors.

Recent Regulatory Developments Impacting our Business

SEC Final Rule Amending Exchange Act Rule 15c2-11

On September 16, 2020, the SEC published a Final Rulemaking on Publication or Submission of Quotations without Specified Information (the “Adopting Release”), amending Rule 15c2-11 under the Exchange Act (“Rule 15c2-11”, or “Amended Rule 15c2-11”). Rule 15c2-11 governs the ability of broker-dealers to publish quotations in an IDQS such as our OTC Link ATS. OTC Link LLC and OTC Link ATS, our broker-dealer subscribers, and companies quoted on our markets must comply with Amended Rule 15c2-11 on or before September 28, 2021 (the “Compliance Date”).

Subject to certain limited exceptions, Amended Rule 15c2-11 will generally prohibit broker-dealers from submitting or publishing quotations in securities on OTC Link ATS unless current information about the company is publicly available. Amended Rule 15c2-11 will permit OTC Link ATS, as a Qualified IDQS, to perform the required information review to determine whether a security is eligible for public quoting. Under the new framework, broker-dealers can rely on our information review and current information designations in submitting quotations on our OTC Link ATS. The ability to perform the necessary information review requirements as a Qualified IDQS will streamline the onboarding of securities onto our markets, incentivize ongoing company disclosure and relieve broker-dealers of the obligation to independently review company information.

Under Amended Rule 15c2-11, companies that do not make current information available, and do not meet one of the enumerated exemptions, will no longer be eligible for public broker-dealer proprietary quotations. This may include securities designated as Pink No Information, certain shell companies, and those for which priced broker-dealer quotations are not available.

We do not anticipate that the disclosure rules applicable to companies on our OTCQX and OTCQB and Pink Current Information markets will change materially. As a general matter, companies on the OTCQX and OTCQB markets, and companies designated as Pink Current Information and Pink Limited Information, will be eligible for continued public quoting on our markets. However, Amended Rule 15c2-11’s new requirements, including those applicable to shell and other non-operational companies, as well as new standards relating to unsolicited quoting, may impact companies on the OTCQB and Pink markets.

Securities that do not meet the current information or other requirements under Amended Rule 15c2-11 (e.g. those designated as “Pink No Information”), or any of the exemptions thereto, will no longer be eligible for public broker-dealer proprietary quoting on OTC Link ATS.

In December 2020, the SEC published a Notice of Proposed Conditional Exemptive Order that would allow broker-dealers to publish proprietary quotations in securities that are no longer eligible for public quoting under Amended Rule 15c2-11 (the “Proposed Order”). Under the Proposed Order, OTC Link LLC would operate a regulated marketplace for broker-dealer subscribers with quote distribution limited to professional and sophisticated investors (the

“Expert Market”). The categories of securities eligible for the Expert Market would include those that lose the ability to be publicly quoted under Amended Rule 15c2-11 and certain securities of bankrupt companies. While we currently operate an expert market tier with quote distribution limited only to broker-dealers, the Expert Market under consideration would operate within the specific parameters and conditions set forth in the Proposed Order.

The Proposed Order was published for public comment and awaits final approval of the SEC.

We continue to engage with the SEC on a regular basis regarding additional exemptive relief and general compliance with Amended Rule 15c2-11.

We have devoted, and continue to devote, significant technology, compliance, legal, personnel and other resources towards compliance with Amended Rule 15c2-11 in advance of the Compliance Date. While we expect our financial results will be affected as a result of the amendments, it is not yet possible to determine the scope or extent of such effect.

Additional information on Amended Rule 15c2-11 is included in our Annual Report for the year ended December 31, 2020.

Consolidated Audit Trail

In 2016, the SEC approved a National Market System (NMS) plan to create a comprehensive database of trading activity, known as the Consolidated Audit Trail or CAT, for regulatory market surveillance purposes. Under the CAT plan, self-regulatory organizations (“SROs”) and FINRA member broker-dealers (such as OTC Link LLC) are required to report information to, and fund the operation of, the CAT. The operating committee for the CAT plan has adopted certain technical specifications and timeliness for compliance but has not yet finalized the funding requirements for the CAT. The initial phase of CAT reporting obligations applicable to OTC Link LLC and its broker-dealer subscribers began in June 2020. We continue to engage with the SEC and the SROs, including FINRA, to define CAT reporting obligations related to OTC equity securities in the later stages of CAT implementation.

Phase 2(c) of the CAT plan became effective in April 2021. The related reporting requirements are likely to result in increased compliance and technology costs that may eventually be material in the aggregate, however, we do not expect the implementation of the CAT plan to be material to our financial results in 2021 and will continue to evaluate its impact in future periods.

FINRA Rule 6439 and Retirement of the OTC Bulletin Board® (“OTCBB”) Service

On September 24, 2020, FINRA filed with the SEC a proposed rule change seeking to cease operating the OTCBB and enhance the regulatory obligations related to member IDQSs by introducing proposed Rule 6439 (the “FINRA Proposal”).

Rule 6439 would impose additional requirements on member IDQSs, such as OTC Link ATS, that permit quotation updates on a real-time basis. Rule 6439 would impose monthly reporting obligations for order and quotation data and mandate timely reporting of system disruptions.

On October 28, 2020 and on January 27, 2021, we submitted comments in response to the FINRA Proposal, expressing our support for the retirement of the OTCBB and suggesting ways to improve Rule 6439 to reduce regulatory inefficiencies and enhance market integrity. The FINRA Proposal is still under consideration by the SEC. We do not expect that the FINRA Proposal, if approved in its current form, will have a material impact on our financial results.

Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB

As of May 1, 2021, our OTCQX and OTCQB markets are exempt from state Blue Sky laws regarding secondary trading in 37 states: Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only), Kentucky,

Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Virginia (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities. We believe recognition of our markets by state regulators and the resulting Blue Sky exemptions make OTCQX and OTCQB more attractive to current and prospective companies. However, the impact of this initiative on our financial results is indirect, and therefore difficult to determine.

ESOP Fairness Act

On February 11, 2020, the ESOP Fairness Act (S.3270) (H.R.5851) was introduced by bipartisan cosponsors in the House and Senate and later gained additional co-sponsors in the 116th Congress. The ESOP Fairness Act would put qualified companies that meet established financial and disclosure standards, such as those traded on the OTCQX market, on par with exchange listed companies by allowing them to fully access the benefits of public company employee stock ownership plans, or ESOPs. We continue to support the reintroduction of this legislation in the 117th Congress. We would expect this legislation, if passed by Congress in its current form and signed into law, to have a positive effect on our financial results.

Trends in Our Business

The COVID-19 pandemic did not adversely affect our financial results in the quarter ended March 31, 2021. However, considerable uncertainty still surrounds the continuing trajectory of the pandemic and its potential long-term effects on the global economy. The full scope and extent of the potential impact on our business in future quarters is dependent on a number of factors that are highly uncertain and cannot be predicted. Additional information regarding the impact of COVID-19 on our business is included in the Risk Factors section of our Annual Report for the year ended December 31, 2020.

In the first three months of 2021, we saw a continuation of the trends we experienced in the fourth quarter of 2020. Our OTC Link business experienced unprecedented volumes on OTC Link ATS and OTC Link ECN, in line with the overall volume of U.S. equity market activity, which led to strong growth in transaction-based revenue. Our Market Data Licensing business continued to benefit from growth in users, while our Corporate Services business continued to experience strong sales and related increase in the number of companies on our markets (see *Financial Results*, below). While transaction-based revenue grew substantially, our business remains primarily subscription based. For the quarter ended March 31, 2021, 63% of our revenues were derived from subscription-based arrangements that are recurring in nature.

With respect to the impact of increased trading activity in our markets, we executed an average of over 70,000 transactions per day on our OTC Link ECN during the Reporting Period, a more than tenfold increase from an average of less than 7,000 transactions per day during the three months ended March 31, 2020. This contributed to significant revenue growth from our OTC Link ECN and was the primary driver of the 210% quarter over quarter increase in revenues from OTC Link. In addition, we added 9 new subscribers to OTC Link ECN during the Reporting Period and finished the quarter with 82 subscribers, up from 61 subscribers as of March 31, 2020.

We expect to continue to attract new subscribers to the platform and to grow our market share. However, the total addressable market is relatively limited, and we expect that in order to capture additional market share we may choose to compete more aggressively on pricing. OTC Link ECN generated \$6.7 million in revenues for the Reporting Period, up from \$723 thousand

for the same prior year period. While the number of trades executed on OTC Link ECN and the number of quotes and trade messages on our OTC Link ATS reached unprecedented levels in January and February of 2021, these volumes have since begun to moderate. The transaction-based revenue that OTC Link generates is strongly correlated with the volume of activity on our markets; however, future trading volumes are highly uncertain and cannot be predicted.

In our Market Data Licensing business, we saw a 9% increase in professional users, from 22,437 professional users as of March 31, 2020 to 24,404 professional users as of March 31, 2021. The year over year growth in the number of users, helped drive a 6% increase in year over year revenues derived from professional users.

Following the outset of the COVID-19 pandemic, we saw a significant increase in the number of non-professional users of our market data, which reached 27,814 users as of March 31, 2021, up from 11,694 users as of March 31, 2020, an increase of 138%. The marked increase in the number of non-professional users from the prior year period is likely related to increased retail participation in U.S. equity markets generally.

Effective January 1, 2021, we introduced fee increases for certain of our real-time, delayed and end-of-day data offerings.

We continue to focus resources on developing and enhancing the relevance of our compliance analytics and compliance data products for our market data subscribers. Our Canari[®] compliance tool provides users with a comprehensive view of quantitative compliance data for a wide spectrum of securities. As of March 31, 2021, a total of 46 firms, up from 41 firms as of March 31, 2020, subscribe to our Compliance Data or Compliance Analytics products, representing most of the largest banks, custodians and clearing firms in the U.S. equities space. Our compliance data offering also includes our Blue Sky Secondary Trading Compliance Data Product, which launched in September 2020.

As of March 31, 2021, 482 companies were traded on the OTCQX Best Market, up versus 414 companies as of March 31, 2020. The rebound in OTCQX sales we experienced in the latter half of 2020 continued during the first quarter of 2021. With downgrades and other service cancellations remaining largely consistent, sales growth has been the primary driver of the increase in companies on the OTCQX market.

We added 35 international issuers to our OTCQX market during the Reporting Period. International companies continued to be a significant driver of the growth in the number of companies on our OTCQX market.

Effective January 1, 2021, we raised our annual fees for our OTCQX market from \$20 thousand to \$23 thousand. This represents the first raise in our annual fees for the OTCQX market since 2016. Companies on our OTCQX market choose to renew their services at the end of each calendar year, effective for the following calendar year.

As of March 31, 2021, there were 962 companies on the OTCQB Venture Market, up from 893 companies as of March 31, 2020. Strong new sales during the Reporting Period drove the increase in companies on OTCQB compared to weaker new sales in the three months ended March 31, 2020, which were impacted by a combination of factors, including the COVID-19 pandemic and the strengthening of OTCQB eligibility requirements, the latter of which had the effect of reducing the overall addressable market. OTCQB companies renew on an annual or semi-annual basis, based on the date they joined the market.

Effective January 1, 2021, we raised annual fees for our OTCQB market from \$12 to \$14 thousand for those paying annually, and from \$13 to \$15 thousand for those paying semi-annually. These increases represent the first such increase in fees since 2018. We also raised

our OTCQB application fee and certain other Corporate Services fees. Historically, we have seen the vast majority, more than 90%, of OTCQB companies that remain in compliance with our OTCQB Standards choose to renew their services at the end of their service terms.

While we have seen a strong rebound in sales for both our OTCQX and OTCQB markets, deterioration in macroeconomic conditions, especially if prolonged, could result in a dampening of demand for our Corporate Services products.

Over the past several years, we have made significant progress in our goal of gaining regulatory recognition for our OTCQX and OTCQB markets. Our markets are exempt under state Blue Sky laws in 37 states and our OTC Link ATS is a Qualified IDQS under Rule 15c2-11.

We intend to continue our efforts to gain federal regulatory recognition for our data driven market standards and compliance processes and to advocate for changes that provide issuers with a more efficient public market. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market.

For additional disclosure related to our regulatory initiatives, including Amended Rule 15c2-11, see *Recent Regulatory Developments Impacting Our Business*, above.

We continue to evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs comprise a very significant proportion of our overall expenses, representing approximately 80% of our total operating expenses in each of the quarters ended March 31, 2021 and 2020. We recognize the importance of attracting and retaining the talent required to develop our service offerings and manage our infrastructure.

We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to provide reliable services to our clients or to comply with our regulatory obligations including our obligations under Regulation SCI, Amended Rule 15c2-11 and our CAT reporting responsibilities. We expect that future investments with respect to our compliance will be material to our financial results. Our headcount as of March 31, 2021 was 103, a modest increase versus our headcount of 102 employees as of March 31, 2020.

How OTC Markets Group Generates Revenues

Each of our three business lines offers a distinct fee structure designed to serve its constituents. OTC Link operates OTC Link ATS, with a subscription model and usage-based fees, and OTC Link ECN, with transaction-based fees. Corporate Services charges application fees, and subscription fees on an annual and semi-annual basis. Market Data Licensing charges distribution and licensing fees. A significant proportion of our revenues are derived pursuant to subscription arrangements; consequently, a majority of our revenues are recurring in nature. For the three months ended March 31, 2021 and 2020, approximately 63% and 85% of our revenues were derived pursuant to subscription arrangements, respectively.

Each of our business lines is described in detail below.

OTC Link

Our trading services business is operated by our wholly owned subsidiary, OTC Link LLC. OTC Link LLC operates OTC Link ATS and OTC Link ECN.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer[®] application provides broker-dealers a user interface into OTC Link ATS. Fees for use of

the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS's FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates in a single security and to send and receive an unlimited number of trade messages in a security on a given day.

OTC Link ECN generates transactional revenues based on share volume executed on the ECN matching platform. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for those orders which provide liquidity, while paying a fee for those orders that remove liquidity. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses.

Market Data Licensing

We generate Market Data Licensing revenues by providing our subscribers with access to the extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Investors, traders, institutions, accountants, and regulators pay us monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients, or to the public. We generate a majority of our Market Data Licensing revenues from sales through market data redistributors.

Certain of our market data license agreements include redistribution fees and rebates, which represented 7% and 11% of Market Data Licensing gross revenue in the three-month periods ended March 31, 2021 and 2020, respectively.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on www.otcmarkets.com. Website advertising revenue is included in our Market Data Licensing business line.

Corporate Services

We operate the OTCQX Best Market, the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include the OTC Disclosure & News Service for posting financial reports, disclosure documents and news releases; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on www.otcmarkets.com and the issuer's website; the Blue Sky Monitoring Service for analysis, review, and guidance about a company's compliance with each U.S. state's securities laws; and our VIC product, which allows issuers to communicate and engage with investors and potential investors.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually on the anniversary of the date on which they joined the market. All companies traded on the OTCQX or OTCQB markets pay a one-time application fee and annual

or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive access to DNS, Real-Time Level 2 Quote Display, the Blue Sky Monitoring Service, and the VIC product.

Pink companies may subscribe separately to these services and pay fees on an annual or semi-annual basis.

Each of these services may be accessed through www.otciq.com.

Key Metrics

The table below presents key metrics for our OTC Link, Corporate Services and Market Data Licensing business lines for the three months ended March 31, 2021 and 2020.

	Three Months Ended March 31,	
	2021	2020
OTC Link		
Number of active ATS subscribers ⁽¹⁾	82	82
Number of active ECN subscribers ⁽¹⁾	82	61
New Form 211 filings	197	75
<i>Number of securities quoted:</i> ⁽¹⁾		
OTCQX	529	460
OTCQB	1,006	943
Pink	10,556	9,425
Total	12,091	10,828
<i>Dollar volume traded (in thousands):</i>		
OTCQX	\$ 77,599,105	\$ 21,572,063
OTCQB	17,062,344	4,684,318
Pink	134,063,217	91,426,989
Total	\$ 228,724,666	\$ 117,683,370
<i>Dollar volume per security (in thousands):</i>		
OTCQX	\$ 146,690	\$ 46,896
OTCQB	16,961	4,967
Pink	12,700	9,700
Corporate Services		
Graduates to a national securities exchange	29	16
<i>Number of corporate clients:</i> ^{(1)/(2)}		
OTCQX	482	414
OTCQB	962	893
Pink	789	689
Total	2,233	1,996
Market Data Licensing		
Market data professional users ⁽¹⁾	24,404	22,437
Market data non-professional users ⁽¹⁾	27,814	11,694
Market data compliance file users ⁽¹⁾	46	41

(1) Figures presented are at period end.

(2) Figures presented represent the number of companies subscribing to our services.

Financial Results

Consolidated Results from Operations

Three Months Ended March 31, 2021 Versus Three Months Ended March 31, 2020

The table below presents comparative information from the Company's unaudited interim Condensed Consolidated Statements of Income for the three months ended March 31, 2021 and 2020.

(in thousands, except shares and per share data)	Three Months Ended March 31,		% change
	2021	2020	
Gross revenues	\$ 26,076	\$ 16,604	57%
Net revenues	25,335	15,903	59%
Revenues less transaction-based expenses	21,796	15,465	41%
Operating expenses	13,377	10,982	22%
Income from operations	8,419	4,483	88%
Operating profit margin	33.2%	28.2%	
Income before provision for income taxes	8,424	4,499	87%
Net income	\$ 6,838	\$ 3,855	77%
Diluted earnings per share	\$ 0.57	\$ 0.32	78%
Weighted-average shares outstanding, diluted	11,710,262	11,672,767	-

Revenues and Transaction-Based Expenses

The following table presents OTC Markets Group's gross revenues by business line and consolidated revenues less transaction-based expenses for the three months ended March 31, 2021 and 2020.

(in thousands)	Three Months Ended March 31,		% change
	2021	2020	
OTC Link	\$ 10,282	\$ 3,320	210%
Market data licensing	7,899	6,745	17%
Corporate services	7,895	6,539	21%
Gross revenues	26,076	16,604	57%
Redistribution fees and rebates	(741)	(701)	6%
Net revenues	25,335	15,903	59%
Transaction-based expenses	(3,539)	(438)	708%
Revenues less transaction-based expenses	\$ 21,796	\$ 15,465	41%

Gross revenues for the Reporting Period increased \$9.5 million, or 57%, to \$26.1 million, as compared to the same prior year period. Gross revenues below are for the Reporting Period, as compared to the same prior year period.

- OTC Link revenues increased \$7.0 million, or 210%. The growth was primarily a result of an increase in revenues contributed by OTC Link ECN of \$5.9 million, or 822%, with an active U.S. equities market environment and new subscribers driving significantly higher trading volumes on the platform. This increase was also a result of a \$413

thousand, or 46%, increase in revenue from OTC Link ATS messages and a \$599 thousand, or 491%, increase in revenue from QAP One Statement fees, consistent with increased activity in the U.S. equity markets.

- Market Data Licensing revenues increased \$1.2 million, or 17%. The increase was primarily a result of an increase of \$525 thousand, or 138%, in revenue from non-professional users, due to elevated retail participation in the U.S. equity markets. Revenue from professional users grew \$212 thousand, or 6%, consistent with an increase in reported users. An increase in revenue from internal, derived and data services of \$258 thousand, or 30%, was primarily due to user growth and price increases.
- Corporate Services revenues increased \$1.4 million, or 21%. OTCQX revenues grew \$599 thousand, or 26%, to \$2.9 million and OTCQB revenue increased \$396 thousand, or 13%, to \$3.4 million, each due to increased sales beginning in the second half of 2020 and continuing during the Reporting Period, a strong calendar year renewal rate, and the impact of price increases effective January 1, 2021. VIC revenues increased \$183 thousand, or 184%, driven by a higher number of hosted events and participating companies.
- Transaction-based expenses comprised of rebates paid to subscribers providing liquidity on our OTC Link ECN increased by \$3.1 million, or 708%, due to an increase in volumes traded on our OTC Link ECN.

Operating Expenses

The following table presents OTC Markets Group's consolidated operating expenses for the three months ended March 31, 2021 and 2020.

(in thousands)	Three Months Ended March 31,		
	2021	2020	% change
Compensation and benefits	\$ 8,946	\$ 7,487	19%
IT Infrastructure and information services	1,638	1,533	7%
Professional and consulting fees	1,242	490	153%
Marketing and advertising	205	242	(15%)
Occupancy costs	613	557	10%
Depreciation and amortization	444	414	7%
General, administrative and other	289	259	12%
Total operating expenses	<u>\$ 13,377</u>	<u>\$ 10,982</u>	22%

Operating expenses for the Reporting Period increased \$2.4 million, or 22%, to \$13.4 million, as compared to the same prior year period. All operating expenses below are for the Reporting Period, as compared to the same prior year period.

- Compensation and benefits expenses increased \$1.5 million, or 19%, primarily related to annual base salary increases and an increase in cash bonus accrued, driven by improvement in earnings performance. The increase was further impacted by a \$233 thousand, or 235%, increase in sales commissions, resulting from strong first quarter OTCQX and OTCQB sales. As a percentage of gross revenues, compensation and benefits costs decreased to 34% for the Reporting Period, as compared to 45% for the same prior year period.

- IT Infrastructure and information services expenses increased \$105 thousand, or 7%, primarily a result of incremental data center and network costs incurred to support the growth of OTC Link ECN.
- Professional and consulting fees increased \$752 thousand, or 153%, primarily due to higher regulatory and clearing costs related to OTC Link ECN transactions, and an increase in VIC support costs.
- Marketing and advertising expenses decreased \$37 thousand, or 15%, primarily related to lower travel and event related spending due to COVID-19 related restrictions.
- Occupancy costs increased \$56 thousand, or 10%, mainly driven by higher estimated real estate taxes assigned by our landlord.
- General, administrative and other expenses increased \$30 thousand, or 12%, primarily related to higher payment processing fees and bad debt expenses.

Income from Operations and Operating Profit Margin

(in thousands)	Three Months Ended March 31,			% change
	2021	2020		
Income from operations	\$ 8,419	\$ 4,483		88%
Operating profit margin	33.2%	28.2%		18%

Income from operations increased \$3.9 million, or 88%, for the Reporting Period, as compared to the same prior year period, and operating profit margin expanded as shown in the table above, primarily as a result of revenue growth outpacing increases in our operating expenses.

Net Income

(in thousands, except shares and per share data)	Three Months Ended March 31,			% change
	2021	2020		
Income before provision for income taxes	\$ 8,424	\$ 4,499		87%
Provision for income taxes	1,586	644		146%
Effective income tax rate	18.8%	14.3%		32%
Net income	\$ 6,838	\$ 3,855		77%

Net income increased \$3.0 million, or 77%, for the Reporting Period, as compared to the same prior year period, due to a \$3.9 million increase in income from operations, partially offset by an increase in the Company's effective tax rate from 14.3% to 18.8%. The effective tax rate for the Reporting Period increased as a result of a decrease in the amount of excess tax benefit on stock-based compensation.

Liquidity and Capital Resources

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services and enhance existing services, make capital expenditures, fund dividends and stock repurchases, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and, as described further below, \$1.5 million available for business operations under our line of credit, which gives us additional flexibility in managing our cash flows (see *Line of Credit*, below).

Cash available for operations

The following table presents cash available for operations, which consists of cash as of March 31, 2021 and December 31, 2020.

(in thousands)	March 31, 2021	December 31, 2020	% change
Cash available for operations	\$ 33,512	\$ 33,733	(1%)

Cash available for operations decreased \$221 thousand, or 1%, to \$33.5 million as of March 31, 2021. The Company generated \$3.6 million of cash from operations for the Reporting Period. The Company utilized operating cashflows and cash on hand to fund \$180 thousand in IT infrastructure enhancements, \$1.8 million in quarterly dividends and \$1.5 million in respect of repurchases of our Class A Common Stock.

Cash Flow

The following table presents sources and uses of cash flows for the three months ended March 31, 2021 and 2020.

	Three Months Ended March 31,		% change
	2021	2020	
Net cash provided by operating activities	\$ 3,566	\$ 200	1683%
Net cash used in investing activities	(180)	(344)	(48%)
Net cash used in financing activities	(3,607)	(5,419)	(33%)
Net Increase (decrease) in cash and restricted cash	\$ (221)	\$ (5,563)	(96%)

Net cash provided by operating activities

Net cash provided by operating activities for the Reporting Period was \$3.6 million, as compared to \$200 thousand for the same prior year period. Cash provided by operating activities for the Reporting Period consisted of net income of \$6.8 million, adjusted for non-cash items of \$1.1 million and changes in assets and liabilities of \$4.3 million. The increase in cash provided by operating activities was primarily a result of a \$3.0 million increase in net income and \$2.3 million increase in deferred revenue. This was partially offset by a \$2.4 million increase in accounts receivable balance.

Net cash used in investing activities

Net cash used in investing activities for the Reporting Period was \$180 thousand, as compared to \$344 thousand for the same prior year period. The cash used in both periods was primarily related to purchases of IT equipment for our data centers.

Net cash used in financing activities

Net cash used in financing activities for the Reporting Period was \$3.6 million, as compared to \$5.4 million for the same prior year period. The cash used in both periods was primarily related to dividends paid to our stockholders and repurchases of our common stock. The decrease in the amount of cash used on a quarter over quarter basis was primarily related to a decrease in the amount of the Company's share repurchases, from \$3.5 million in the same prior year period, to \$1.5 million in the Reporting Period.

Capital resources and working capital

OTC Markets Group's working capital at March 31, 2021 was \$16.6 million, an increase of \$4.5 million, or 37%, from \$12.1 million at December 31, 2020. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes and income taxes payable. The increase in working capital for the Reporting Period was primarily attributable to the increase in accounts receivable and decrease in accrued operating expenses as the Company paid accrued 2020 discretionary bonus and employer 401k contribution in the first quarter of 2021.

Line of Credit

On July 7, 2012, the Company entered into a line of credit with JPMorgan Chase (the "Line of Credit") that provided up to \$1.5 million of available borrowing capacity to fund business operations. The effective interest rate of the Line of Credit is benchmarked to the London Inter Bank Offered Rate ("LIBOR"). The Line of Credit has been extended through June 25, 2021. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. As of March 31, 2021, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

Operating Leases

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the terms of the leases.

Off-Balance Sheet Arrangements

None.

Item 5. Legal proceedings

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on our business, financial condition or operations. We are not a party to any past or pending trading suspensions by a securities regulator.

Item 6. Defaults upon senior securities

None.

Item 7. Other information

None.

Item 8. Exhibits

- | | |
|--------------|--|
| Exhibit 3.1 | Unaudited interim condensed consolidated financial statements |
| Exhibit 3.12 | Second Amendment to Office Lease Agreement between OTC Markets Group Inc. and LHREV Washington M Street, LLC for office space located at 100 M Street SE, Washington, D.C. |
| Exhibit 9.1 | Certification of principal executive officer |
| Exhibit 9.2 | Certification of principal financial officer |

Item 9. Certifications

Current certifications are filed as Exhibits 9.1 and 9.2 to this Quarterly Report.

Exhibit 3.1

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in thousands, except share information)
(Unaudited)

	March 31, 2021	December 31, 2020
Assets		
Current assets		
Cash	\$ 33,512	\$ 33,733
Short-term restricted cash	-	32
Accounts receivable, net of allowance for credit losses of \$228 and \$194	9,500	6,609
Prepaid income taxes	-	356
Prepaid expenses and other current assets	1,478	1,375
Total current assets	44,490	42,105
Property and equipment, net	5,083	5,367
Operating lease right-of-use assets	14,542	14,844
Deferred tax assets, net	437	343
Goodwill	251	251
Intangible assets, net	40	40
Long-term restricted cash	1,564	1,532
Other assets	336	328
Total Assets	<u>\$ 66,743</u>	<u>\$ 64,810</u>
Liabilities and stockholders' equity		
Current liabilities		
Accounts payable	\$ 1,125	\$ 1,251
Accrued expenses and other current liabilities	6,109	9,965
Income taxes payable	1,102	16
Deferred revenue	19,569	18,765
Total current liabilities	27,905	29,997
Income tax reserve	839	801
Operating lease liabilities	14,220	14,466
Total Liabilities	42,964	45,264
Commitments and contingencies		
Stockholders' equity		
Common stock - par value \$0.01 per share		
Class A - 14,000,000 authorized, 12,448,578 issued, 11,767,211 outstanding at		
March 31, 2021; 12,346,491 issued, 11,709,857 outstanding at December 31, 2020	124	123
Additional paid-in capital	20,451	19,770
Retained earnings	16,843	11,770
Treasury stock - 681,367 shares at March 31, 2021 and 636,634 shares at December 31, 2020	(13,639)	(12,117)
Total Stockholders' Equity	23,779	19,546
Total Liabilities and Stockholders' Equity	<u>\$ 66,743</u>	<u>\$ 64,810</u>

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share information)
(Unaudited)

	Three Months Ended March 31,	
	2021	2020
Gross revenues	\$ 26,076	\$ 16,604
Redistribution fees and rebates	(741)	(701)
Net revenues	25,335	15,903
Transaction-based expenses	(3,539)	(438)
Revenues less transaction-based expenses	21,796	15,465
Operating expenses		
Compensation and benefits	8,946	7,487
IT Infrastructure and information services	1,638	1,533
Professional and consulting fees	1,242	490
Marketing and advertising	205	242
Occupancy costs	613	557
Depreciation and amortization	444	414
General, administrative and other	289	259
Total operating expenses	13,377	10,982
Income from operations	8,419	4,483
Other income		
Interest income	-	16
Other income, net	5	-
Income before provision for income taxes	8,424	4,499
Provision for income taxes	1,586	644
Net income	\$ 6,838	\$ 3,855
Net income per share		
Basic	0.58	\$ 0.33
Diluted	0.57	\$ 0.32

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)
(Unaudited)

	Three Months Ended March 31,	
	2021	2020
Beginning balance	\$ 19,546	\$ 17,673
Increase from net income	6,838	3,855
Dividends paid	(1,765)	(1,748)
Stock-based compensation	1,002	910
Issuance of restricted and common shares, net	(320)	(151)
Purchases of treasury stock	(1,522)	(3,520)
Ending balance	<u>\$ 23,779</u>	<u>\$ 17,019</u>

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)
(Unaudited)

	Three Months Ended March 31,	
	2021	2020
Cash flows from operating activities		
Net income	\$ 6,838	\$ 3,855
Adjustments to reconcile net income to net cash provided by operating activities		
Depreciation and amortization	444	414
Provision for credit losses	24	(5)
Stock-based compensation	1,002	910
Excess tax benefits related to stock-based compensation	(318)	(345)
Deferred income taxes	(94)	389
Changes in assets and liabilities:		
Accounts receivable	(2,915)	(558)
Prepaid expenses and other current assets	(103)	151
Prepaid income taxes	356	(95)
Accounts payable	(114)	395
Accrued expenses and other current liabilities	(3,905)	(3,690)
Income tax payable	1,404	353
Income tax reserve	38	88
Deferred revenue	804	(1,507)
Other changes in assets and liabilities	105	(155)
Net cash provided by operating activities	3,566	200
Cash flows from investing activities		
Purchases of property and equipment	(180)	(344)
Net cash used in investing activities	(180)	(344)
Cash flows from financing activities		
Dividends paid	(1,765)	(1,748)
Issuance of restricted and common shares, net	(320)	(151)
Purchases of treasury stock	(1,522)	(3,520)
Net cash used in financing activities	(3,607)	(5,419)
Net decrease in cash and restricted cash	(221)	(5,563)
Cash and restricted cash at beginning of period	35,297	29,778
Cash and restricted cash at end of period	<u>\$ 35,076</u>	<u>\$ 24,215</u>
Reconciliation of cash and restricted cash:		
Cash	\$ 33,512	\$ 22,654
Long-term restricted cash	1,564	1,561
Total Cash and restricted cash	<u>\$ 35,076</u>	<u>\$ 24,215</u>
Supplemental Disclosure of Cash Flow Information		
Income taxes paid, net of refund	\$ 199	\$ 255
Non-cash investing activities:		
Property and equipment included in accounts payable or accrued expenses	5	-

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements

(in thousands, except share and per share information)

Note 1. Description of Business

Overview

OTC Markets Group Inc. (“OTC Markets Group” or the “Company”) (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market and the Pink® Open Market for approximately 11,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company connects a diverse network of broker-dealers that provide liquidity and execution services. OTC Markets Group enables investors to easily trade through the broker of their choice and empowers companies to improve the quality of information available for their investors.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link – OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group provides market data and compliance data for a wide spectrum of securities and companies. The Market Data Licensing business line provides investors, traders, institutions and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, through third party market data redistributors or Order Management Systems (“OMS”).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies access to a suite of services that are designed to facilitate public disclosure and communication with investors, promote greater transparency and allow companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service® (“DNS”), Real-Time Level 2 Quote Display, Blue Sky Monitoring Service and our Virtual Investor Conferences® (“VIC”) product.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a “C” Corporation for federal, state, and local income tax purposes.

Note 2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying unaudited interim condensed consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (“U.S. GAAP”) and include the accounts of the Company and its wholly-owned subsidiaries, OTC Link LLC, OTC Markets Group International Ltd, and Qaravan® Inc., and reflect all adjustments, consisting of normal recurring adjustments, that are, in the opinion of management, necessary for a fair statement of the results for the period. All intercompany transactions have been eliminated in consolidation. Management has assessed the segment reporting standards, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses, assesses performance and allocates resources; and has concluded that the Company has one reportable segment. Refer to Note 2, *Summary of*

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Significant Accounting Policies, from the Company's Annual Report for the year ended December 31, 2020 for a full discussion of significant accounting policies.

The interim condensed consolidated financial statements are unaudited and should be read in conjunction with the audited financial statements of the Company as of and for the year ended December 31, 2020. Operating results for the three months ended March 31, 2021 (the "Reporting Period") are not necessarily indicative of the results that may be expected for the year ending December 31, 2021.

Use of Estimates

The preparation of these unaudited interim condensed consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the unaudited interim consolidated financial statements include allowance for credit losses, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates. As the impact of the COVID-19 pandemic continues to unfold and additional information becomes available, some of our estimates and assumptions may change in future periods.

Note 3. Revenue Recognition

Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers in an amount that reflects the consideration we expect to be entitled to in exchange for those goods or services. In accordance with Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) identify the contract with the customer; (2) identify the performance obligations under the contract; (3) determine the transaction price; (4) allocate the transaction price to the separate performance obligations; and (5) recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data Licensing and Corporate Services offerings, including VIC, news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

OTC Link

OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer[®] application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Consolidated Balance Sheets. The Company pays rebates to certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

In addition to the aforementioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for those orders which provide liquidity, while paying a fee for those orders that remove liquidity. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses. These fees are invoiced monthly, in arrears and are due upon receipt. The Company recognizes transactional based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

Market Data Licensing

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market Data Licensing revenues are recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.

The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

Corporate Services

Corporate Services generates revenues from the OTCQX Best Market and OTCQB Venture Market and from a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and to subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter. The Company also charges for the right to host webcast presentations and online events on our VIC platform. VIC presentation fees are recognized at the point in time when the services are rendered, which corresponds to the date of the webcast and the point in time that the performance obligation is satisfied.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The following tables present our revenues disaggregated by timing of revenue recognition:

	Three Months Ended March 31,					
	2021			2020		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 9,319	\$ 963	\$ 10,282	\$ 2,359	\$ 961	\$ 3,320
Market data licensing	66	7,833	7,899	30	6,715	6,745
Corporate services	358	7,537	7,895	67	6,472	6,539
Gross revenues	9,743	16,333	26,076	2,456	14,148	16,604
Redistribution fees and rebates	(26)	(715)	(741)	(12)	(689)	(701)
Net revenues	9,717	15,618	25,335	2,444	13,459	15,903
Transaction-based expenses	(3,539)	-	(3,539)	(438)	-	(438)
Revenues less transaction-based expenses	\$ 6,178	\$ 15,618	\$ 21,796	\$ 2,006	\$ 13,459	\$ 15,465

The following tables present our revenues disaggregated by geography:

	Three Months Ended March 31,					
	2021			2020		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 10,282	\$ -	\$ 10,282	\$ 3,320	\$ -	\$ 3,320
Market data licensing	6,281	1,618	7,899	5,537	1,208	6,745
Corporate services	4,025	3,870	7,895	3,660	2,879	6,539
Gross revenues	20,588	5,488	26,076	12,517	4,087	16,604
Redistribution fees and rebates	(672)	(69)	(741)	(630)	(71)	(701)
Net revenues	19,916	5,419	25,335	11,887	4,016	15,903
Transaction-based expenses	(3,539)	-	(3,539)	(438)	-	(438)
Revenues less transaction-based expenses	\$ 16,377	\$ 5,419	\$ 21,796	\$ 11,449	\$ 4,016	\$ 15,465

Accounts Receivable, net

As of March 31, 2021, and December 31, 2020, accounts receivable net of allowance for credit losses, were \$9,500 and \$6,609, respectively. The allowance for credit losses reflects our best estimate of probable losses inherent in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts receivable balances, specific account information and our estimates of current and future economic conditions that may affect our customers' ability to pay.

Deferred Revenue

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data Licensing and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the three months ended March 31, 2021 and 2020:

	Three Months Ended March 31,	
	2021	2020
Balance at at beginning of period	\$ 18,765	\$ 15,815
Net changes	804	(1,507)
Balance at at end of period	19,569	14,308

For the three months ended March 31, 2021 and 2020, we recognized \$6,033 and \$6,142 of revenue that was included in the balance of our deferred revenue at the beginning of the year.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Payment Terms

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products, we require payment before services are rendered.

Note 4. Concentrations and Uncertainties

During the Reporting Period, Market Data Licensing revenues earned through one market data redistributor amounted to approximately 7% of gross revenues, as compared to 11% during the same prior year period. As of March 31, 2021 and 2020, accounts receivable from that same subscriber amounted to 28% and 25% of total accounts receivable, respectively.

Note 5. Fair Value of Financial Instruments

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal, or most advantageous market for that asset or liability.

Assets and liabilities on the unaudited interim Condensed Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

Note 6. Property and Equipment

Property and equipment consisted of the following:

	March 31, 2021	December 31, 2020	Estimated useful life (years)
Computer software	\$ 2,734	\$ 2,704	2 - 3
Computer equipment	5,212	5,092	3 - 5
Furniture and fixtures	691	691	5 - 7
Leasehold improvements	2,804	2,804	Term of lease
Total property and equipment	11,441	11,291	
Accumulated depreciation and amortization	(6,358)	(5,924)	
Total property and equipment, net	\$ 5,083	\$ 5,367	

Depreciation and amortization on property and equipment included in the unaudited interim Condensed Consolidated Statements of Income amounted to \$444 and \$414 for the three months ended March 31, 2021 and 2020, respectively.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Computer software includes approximately \$6 and \$34 in unamortized website development costs, as of March 31, 2021 and December 31, 2020, respectively.

Note 7. Leases

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in May 2016 and expires on June 30, 2021. These operating leases are recorded as operating lease right-of-use assets on the Company's unaudited interim Condensed Consolidated Balance Sheet as of March 31, 2021, and represent the Company's right to use of the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses, other current liabilities and the operating lease liabilities section on the Company's unaudited interim Condensed Consolidated Balance Sheet as of March 31, 2021.

The components of lease expense were as follows:

	Three Months Ended March 31,	
	2021	2020
Operating Lease cost	\$ 497	\$ 497
Short-term Lease cost	5	4
Total lease cost	\$ 502	\$ 501

Supplemental cash flow information related to leases was as follows:

	Three Months Ended March 31,	
	2021	2020
Cash Paid for operating lease liabilities	\$ 498	\$ 496
Right-of-use assets obtained in exchange for operating lease obligations	-	-

Supplemental balance sheet information related to leases was as follows:

	March 31, 2021	December 31, 2020
Operating lease right-of use assets	\$ 14,542	\$ 14,844
Other current liabilities	1,771	1,829
Operating lease liabilities	14,220	14,466
Total operating lease liabilities	15,991	16,295
Weighted-average remaining lease term	11 Years	11 Years
Weighted-average discount rate	4.8%	4.8%

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Maturities of lease liabilities were as follows:

Remainder of 2021	\$	1,377
2022		1,759
2023		1,759
2024		1,875
2025		1,925
Thereafter		11,994
Total lease payments		20,689
Less imputed interest		(4,698)
Total	\$	15,991

Note 8. Goodwill and Intangible Assets

Goodwill and intangible assets consisted of the following:

	March 31, 2021	December 31, 2020	Estimated useful life (years)
Goodwill	\$ 251	\$ 251	Indefinite
Intangible assets:			
Website	\$ 100	\$ 100	2
Subscription services	150	150	8-15
Distributor relations	27	27	15
Intellectual property	40	40	Indefinite
Total intangible assets	317	317	
Accumulated amortization	(277)	(277)	
Intangible assets, net	\$ 40	\$ 40	

No amortization of finite-lived intangible assets was recognized for the three months ended March 31, 2021 or 2020 as the assets were fully amortized. No impairment charges were recorded to goodwill or intangible assets during the three months ended March 31, 2021 or 2020.

Note 9. Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	March 31, 2021	December 31, 2020
Payroll and employee withholdings	\$ 3,201	\$ 6,740
Accrued operating expenses	1,137	1,397
Current operating lease liabilities	1,771	1,828
Total accrued expenses and other current liabilities	\$ 6,109	\$ 9,965

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commission. The balance of payroll and employee withholdings as of December 31, 2020 represents a full year of accrual, which was paid out during the Reporting Period.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 10. Stock-Based Compensation

OTC Markets Group grants stock options to employees and restricted stock awards (“RSAs”) to employees and directors. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is then amortized into compensation expense on a straight-line basis over the requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and, in respect of compensation for our Board of Directors, professional and consulting fees on the unaudited interim Condensed Consolidated Statements of Income.

A summary of the Company’s option activity for the Reporting Period is as follows:

(in thousands, except W/A exercise price)	Stock options	Weighted-average exercise price	Aggregate intrinsic value	Remaining contractual term (years)
Outstanding, January 1, 2021	569	\$ 25.06	\$ 5,164	6.82
Granted	60	35.74	6	
Exercised	(48)	21.03	780	
Forfeited	(8)	26.14	98	
Outstanding, March 31, 2021	573	\$ 26.51	\$ 7,585	6.99
Exercisable, March 31, 2021	252	\$ 20.50	\$ 4,854	5.33

The Company recognized compensation expense related to stock options, net of estimated forfeitures, of \$159 and \$169 for the three months ended March 31, 2021 and 2020, respectively. Management has estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees. Such charges are included in compensation and benefits expenses on the unaudited interim Condensed Consolidated Statements of Income.

As of March 31, 2021, unrecognized compensation cost related to non-vested stock options was \$1,495, which will be recognized over approximately 3.5 years.

A summary of the Company’s restricted stock activity for the Reporting Period is as follows:

(in thousands, except W/A fair value)	Restricted stock	Weighted-average fair value	Aggregate intrinsic value
Outstanding, January 1, 2021	279	\$ 28.55	\$ 9,475
Granted	106	34.00	3,585
Vested	(94)	25.70	3,184
Forfeited	(16)	29.65	537
Outstanding, March 31, 2021	275	\$ 31.55	\$ 10,928

The Company recognized compensation expense, net of estimated forfeitures, of \$806 and \$703 for the three months ended March 31, 2021 and 2020, respectively. Management has estimated forfeiture rates of 8% for RSAs granted to management and 13% for RSAs granted to other employees. In addition, the Company also recognized professional fees of \$37 and \$38 for the three months ended March 31, 2021 and 2020, respectively, related to the issuance of restricted stock awards to the Board of Directors.

As of March 31, 2021, unrecognized compensation cost related to non-vested RSAs totaled \$7,391, which will be recognized over approximately 3.7 years.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 11. Contingencies

Legal Matters

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

Note 12. Stockholders' Equity

Common Stock

The Company has one class of shares, Class A Common Stock, outstanding. Holders of Class A Common Stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends. Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A Common Stock are entitled to a pro rata share of the net assets of the Company available for distribution in proportion to the number of shares of Class A Common Stock held by each.

The Company is authorized to issue 14,000,000 shares of common stock at \$0.01 par value. As of March 31, 2021 there were a total of 12,448,578 shares issued and 11,767,211 shares outstanding. As of December 31, 2020 there were a total of 12,346,491 shares issued and 11,709,857 shares outstanding.

Treasury Stock

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A Common Stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act"). On March 12, 2021, the Board of Directors refreshed the Company's stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A Common Stock.

During the Reporting Period, the Company repurchased 44,733 shares of Class A common stock at average price of \$34.01 per share for a total of \$1,522. During the same prior year period, the Company repurchased 102,938 shares at average price of \$34.20 per share, for a total of \$3,520. All repurchased shares are held in treasury. Under the stock repurchase program, there are 300,000 shares remaining to be purchased.

Dividends

The Company declared a cash dividend of \$0.15 per Class A share during each of the three months ended March 31, 2021 and 2020, totaling \$1,765 and \$1,748, respectively.

Equity Incentive Plan

The Company's Equity Incentive Plan (the "Plan"), as adopted by the Board of Directors on May 7, 2019 and approved by a vote of the Company's stockholders on December 19, 2019, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares, and governs options awarded (Refer to Note 10, *Stock-Based Compensation*). In each of November 2020 and 2019, the Board of Directors authorized the increase in the number of shares available for issuance under the Plan by 200,000 shares.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 13. Income Taxes

The Company's effective tax rates were 18.8% and 14.3% for the three months ended March 31, 2021 and 2020, respectively. The rates reflect the inclusion of state and local income taxes at the federal statutory rate of 21%. The effective tax rates for the three months ended March 31, 2021 differed from the federal statutory rate primarily due to the recognition of the U.S. federal research and development credit, the impact of the Foreign-Derived Intangible Income deduction available pursuant to provisions of the Tax Cuts and Jobs Act, and the impact of excess tax benefits from share-based compensation. During the first quarter of 2021 and 2020, we recognized an income tax benefit related to the excess tax benefit on stock-based compensation of \$318 and \$345, respectively.

As required by the uncertain tax position guidance in FASB Accounting Standards Codification Topic 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. The gross amount of unrecognized tax benefits as of March 31, 2021 and December 31, 2020 was \$632 and \$601, respectively, and was classified in income tax reserve in the unaudited interim Condensed Consolidated Balance Sheets. It is not reasonably possible that any unrecognized tax benefits will reverse within the next twelve months from settlements with taxing authorities.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. The Company recognized interest and penalties of \$5 and \$23 for the three months ended March 31, 2021 and 2020, respectively. Interest and penalties accrued as of March 31, 2021 and December 31, 2020 were \$207 and \$200, respectively.

Note 14. Earnings Per Share

The Company calculates earnings per share pursuant to the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees (Refer to Note 10, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The tables below present the calculations of earnings per share under the two-class method:

Basic Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended March 31,	
	2021	2020
Net income available to common shareholders	\$ 6,838	\$ 3,855
Less: Undistributed earnings allocated to unvested RSAs	(118)	(50)
Less: Dividend equivalents on unvested RSAs	(41)	(42)
Net income allocated to common shareholders	<u>\$ 6,679</u>	<u>\$ 3,763</u>
Shares of common stock and common stock equivalents		
Weighted-average common shares outstanding	<u>11,506,875</u>	<u>11,415,322</u>
Basic earnings per share	\$ 0.58	\$ 0.33

Diluted Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended March 31,	
	2021	2020
Net income available to common shareholders	\$ 6,838	\$ 3,855
Less: Undistributed earnings allocated to unvested RSAs	(116)	(49)
Less: Dividend equivalents on unvested RSAs	(41)	(42)
Net income allocated to common shareholders	<u>\$ 6,681</u>	<u>\$ 3,764</u>
Shares of common stock and common stock equivalents		
Weighted-average common shares outstanding	11,506,875	11,415,322
Dilutive effect of employee stock options and RSAs	<u>203,387</u>	<u>257,445</u>
Weighted-average shares used in diluted computation	<u>11,710,262</u>	<u>11,672,767</u>
Diluted earnings per share	\$ 0.57	\$ 0.32

Note 15. Regulatory Authorities

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of \$5 or 6-2/3% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of March 31, 2021 and December 31, 2020 was \$4,086 and \$2,871, respectively, which exceeded the minimum net capital requirement by \$3,777 and \$2,659, respectively.

Note 16. Subsequent Events

For purposes of disclosure in the unaudited interim condensed consolidated financial statements, the Company has evaluated subsequent events through May 5, 2021, the date the financial statements were available to be issued.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

On April 5, 2021, the Company entered into a second amendment for the lease at 100 M Street SE, Washington, D.C., extending the end of the lease term from June 30, 2021 to January 31, 2028. The total undiscounted future non-cancellable lease payments under the amendment are approximately \$1,396.

On May 3, 2021, the Board of Directors authorized and approved a quarterly cash dividend of \$0.15 per share of Class A Common Stock. The quarterly cash dividend is payable on June 24, 2021 to stockholders of record on June 11, 2021. The ex-dividend date is June 10, 2021.

EXHIBIT 9.1

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ R. Cromwell Coulson
R. Cromwell Coulson
Chief Executive Officer

May 5, 2021
Date

EXHIBIT 9.2

CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER

I, Antonia Georgieva, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ Antonia Georgieva
Antonia Georgieva
Chief Financial Officer

May 5, 2021
Date